

Customer Service Return Exceptions Policy

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Department: Customer Operations

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Purpose

This policy defines how TraceStock AI customer service teams handle return exceptions, refund escalation, proof-of-purchase gaps, partial refunds, exchange alternatives, and customer communications. It extends the Return and Refund Policy 2026 and should be used when a return request does not fit the standard rules cleanly.

The goal is to keep customer decisions consistent, auditable, and fair while protecting inventory accuracy and margin. Exceptions should be rare, documented, and tied to clear business reasons.

Standard Decision Order

Customer service should evaluate return cases in this order:

- Verify the original sale or order record.
- Confirm the request is within the standard return window or qualifies for an exception.
- Identify the return reason.
- Confirm the product category and any category-specific restrictions.
- Confirm item condition after receipt or based on customer evidence.
- Select refund, exchange, repair, store credit, or decline.
- Record the decision reason and approval when required.

If live order, product, inventory, or return data is unavailable, the team should avoid promising a final outcome. The correct response is to explain what information is missing and what must be verified.

Proof of Purchase Exceptions

Proof of purchase is normally required. Acceptable proof includes order number, receipt number, invoice number, account purchase history, payment confirmation, marketplace order reference, or customer service case reference.

When proof of purchase is missing, customer service may still consider store credit if the product is identifiable, the item appears to be sold by the company, the customer history is low risk, and the item is not regulated, personalized, or final sale. Refund to original payment method is not allowed without verified sale evidence.

Manager approval is required when proof is missing and the estimated item value is above 75 EUR. Returns without proof above 250 EUR should normally be declined unless a director-level customer recovery exception is approved.

Return windows

The standard return window is 30 days.

Late Return Exceptions

Returns outside the standard window may be approved only when a documented exception applies. Valid reasons include carrier delay, incorrect item shipped, defective item, delayed delivery evidence, warranty-backed failure, documented customer service error, or approved goodwill recovery.

Goodwill late returns should consider customer value, return history, item condition, resale potential, and margin impact. Goodwill should normally be store credit rather than cash refund or original payment refund.

Late returns more than 15 days beyond the standard window require team lead approval. Late returns more than 45 days beyond the standard window require operations manager approval unless covered by warranty or legal obligation.

Partial Refund Rules

Partial refunds may be used when the customer keeps the item, when accessories are missing, when packaging damage reduces resale value, when a minor defect does not prevent use, or when shipping/service recovery is appropriate.

Suggested partial refund bands:

- 5 to 10 percent for minor cosmetic packaging damage.
- 10 to 20 percent for missing non-critical accessories.
- 15 to 30 percent for opened-good items with reduced resale value.
- 20 to 50 percent for accepted damaged items where customer misuse is possible.

Partial refunds above 50 percent should be treated like a full refund approval and require the same approval level.

Exchange Preference

When the customer wants a usable product and inventory is available, exchange should be offered before refund for defective, damaged-on-arrival, incorrect-item, and fulfillment-error cases.

Customer service must not promise an exchange until inventory availability is checked. If stock is below reorder point or available quantity is below five units, the team should communicate that replacement timing depends on warehouse confirmation or replenishment timing.

If the replacement item is unavailable, acceptable alternatives are refund, store credit, waitlist for replenishment, or substitute SKU when approved by the customer.

High-Risk Return Patterns

The following patterns require fraud or team lead review before refund:

- Repeated missing-item claims.
- Frequent high-value returns.
- Multiple accounts using the same address or payment method.

- Serial number mismatch.
- Return package contains unrelated item.
- Customer repeatedly requests refund before inspection.
- High-value item returned with damaged or altered packaging.

High-risk review does not automatically mean the return is declined. It means refund should wait until sale verification, item inspection, and decision documentation are complete.

Communication Standards

Customer communication should be specific but not overly legalistic. Staff should explain what rule applies, what evidence is needed, and what outcome is available.

When declining a return, the message should include the primary reason, such as outside return window, final-sale category, missing proof of purchase, failed inspection, or fraud review. Do not blame warehouse, suppliers, carriers, or individual employees.

When approving an exception, the note should state that the decision is an exception and should not be described as a standard policy entitlement.

Required Notes

Every exception must include:

- Original sale or order reference when available.
- Return reason.
- Product condition or expected inspection requirement.
- Selected resolution.
- Approval owner when approval is required.
- Customer communication summary.
- Inventory disposition when known.

Missing notes should be treated as an audit issue. A return exception without a note may be reversed or escalated during review.

Evidence Standards for Exceptions

An exception is a decision to depart from the standard rules, so it must rest on something more than the customer's account alone. The evidence expected scales with the value at stake.

Refund value	Evidence expected
Under 100 EUR	Customer account plus order record
100 to 250 EUR	Order record plus photographs where condition is disputed
250 to 1,000 EUR	Photographs, delivery confirmation, and manager review

Refund value	Evidence expected
Above 1,000 EUR	All of the above plus written approval from the Head of Customer Operations

Photographs must show the product, any damage claimed, and the packaging. Where a customer cannot supply photographs, that is not automatically fatal to their case, but the decision must record why the exception was granted without them.

Goodwill Framework

Goodwill is a deliberate cost incurred to preserve a relationship, not a way of ending an uncomfortable conversation. It is used where the company is not obliged to act but where the customer's experience justifies it.

Situation	Typical goodwill
Delivery arrived late through carrier fault	Refund of shipping cost
Product met description but disappointed	Return accepted outside window, no restocking fee
Repeat failure on the same order	Credit up to 50 EUR, plus resolution of the underlying issue
Company error causing customer cost	Full reimbursement of the cost incurred

Goodwill above 100 EUR requires manager approval. Goodwill is recorded against the case with its reason so that patterns can be reviewed. A product generating repeated goodwill is a product problem, and the pattern should reach Quality rather than being absorbed case by case.

Cross-Border Returns

Customers outside Germany but within the European Union have the same rights under this policy. Return shipping arrangements differ because cost and transit time differ.

Where the return shipping cost would exceed the value of the item, customer service may authorise a refund without requiring the item back. The item is then recorded as written off rather than as returned stock, because it never enters inventory. Recording it as a return would overstate returned units and distort the return rate.

Customs charges incurred on a return are borne by the company where the return results from a company error, and by the customer where it results from a change of mind.

Case Documentation

Every exception is recorded with:

- What was requested and by whom
- Which rule the decision departs from
- Why the departure was justified
- The financial value of the decision

- Who approved it, where approval was required

A case without these five elements cannot be reviewed later and cannot be used to defend the decision if it is challenged. Notes such as "customer unhappy, refunded" are treated as missing documentation.

Worked Examples

Return requested on day 34, delivery was delayed. The order shows a sale date 34 days ago and a delivery confirmation 9 days after the sale. The window runs from delivery in this case, so the request is inside the window and is handled as a standard return rather than an exception.

No proof of purchase, but the order is in the system. The order record is proof of purchase. Absence of a receipt is not a barrier where the sale can be identified from the customer's name, email, or card reference.

Item returned with accessories missing. Where the missing parts are essential, a partial refund reflecting replacement cost is appropriate, with the deduction explained before it is applied. Where they are trivial, the deduction usually costs more in handling and dispute than it recovers.

Third return of the same product by one customer. Handle the immediate request on its merits within policy, and route the pattern for fraud review separately. The customer is not told a review is open, and the review does not delay the current decision.

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